



Weekly Insights | Jan 08, 2026

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Executive Summary

Corn – Supply Reset Pressures Futures, but Export Flow Continues to Anchor the Front End

March corn settled at \$4.22/bu on January 13, down nearly 25¢ on Monday, as the January USDA reports finalized a record 2025 crop and lifted its expectation for new-crop US ending stocks to 2.227 bbu. The scale of the production revision (+269 mbu) forced futures sharply lower, but nearby structure softened only modestly. The Mar/May spread held near an eight-cent carry (about 40 percent of full carry), signaling that commercial interest in nearby ownership remains intact despite a looser balance sheet. Export execution continues to validate that signal, with inspections

confirming strong early-season movement and cumulative shipments running well ahead of last year. January data effectively removed the pre-report tightening narrative, yet steady export flow and firm replacement values continue to limit downside follow-through.

Wheat – Global Supply Overhang Dominates, While US Movement Remains Orderly

March SRW wheat closed at \$5.13/bu, down six cents w/w, with structure reflecting a storage-driven market rather than nearby stress. The Mar/May spread held near a 10¢ carry (roughly 35 percent of full carry), consistent with ample supply and limited urgency for immediate ownership. USDA's January WASDE lifted US ending stocks to 926 mbu and raised global ending stocks to 278.3 mmt, driven primarily by larger crops in Argentina and Russia. Despite the heavier balance sheet, export execution remains supportive at the margin, with weekly inspections at 0.32 mmt and cumulative shipments running about eight percent ahead of last year. Wheat continues to trade the contrast between burdensome global availability and a physical market that has not materially weakened.

Soybeans – Export Downgrades Shift the Burden to Domestic Crush as Brazil Advances

March soybeans settled at \$10.43/bu on January 13, down 13¢ on the week, as January WASDE reduced US exports to 1.575 bbu and raised ending stocks to 350 mbu. At the same time, domestic crush was increased to 2.57 bbu, partially offsetting weaker export demand. Structure reflects that balance, with the Mar/May spread holding near a 10¢ carry (about 45 percent of full carry), signaling adequate nearby supply without forced liquidation. While weekly inspections showed episodic strength, cumulative shipments remain roughly 40 percent behind last year, reinforcing that domestic crush, not exports, now carries the balance sheet as Brazil's record 178 mmt crop advances.

(Carry percent calculated assuming 7 percent annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

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Macro / Policy – Dollar Slightly Firmer, BRL Weaker; Energy Quiet

Macro conditions remained largely neutral over the past week, allowing grain markets to focus squarely on the January USDA data. The US dollar index held near 98.95, while the Brazilian real weakened modestly toward 5.37 per dollar, supporting Brazilian farmer sales at the margin without materially altering global trade flows. Energy markets were range-bound, with WTI crude trading near \$60 per barrel, stabilizing biofuel economics but not generating new demand signals for corn or soybean oil. With no material policy shifts or macro shocks during the period, price discovery across grains was driven primarily by balance sheet adjustments rather than cross-asset influences.

Weather – Warm/Dry US Pattern; Argentina Dryness vs Brazil's Generally Favorable Setup

In the United States, a warm and generally dry pattern persisted across key growing regions. NOAA's 6–10 day outlook continued to show above-normal temperatures and below-normal precipitation across the Plains and Midwest, minimizing winterkill risk for winter wheat but limiting soil moisture recharge in parts of the HRW belt. River conditions remained stable, with no major weather-related disruptions to grain movement.

In South America, conditions remained favorable for Brazil, reinforcing expectations for a record soybean crop. Core growing areas continued to receive adequate rainfall, supporting crop development as harvest advances, with Mato Grosso harvest estimated near **eight** percent complete. In contrast, dryness in parts of Argentina intensified, particularly across southern production areas, raising localized concerns for soybeans during the critical pod-setting stage of development. While wheat production is already locked in at a record 27.5 mmt, Argentine weather remains a key variable for oilseed and corn yield risk moving forward.

What's Next (Jan 15 – Jan 22):

USDA Reports Reaction: Monitor basis/spreads for carryout implications; looser sheets may widen carries unless exports accelerate.

Corn Stocks Math: Higher production/ending stocks (2.227 bbu) likely caps rallies; watch if sub-2.0 bbu talk revives on feed/residual.

Soybean Demand Split: Recent China flashes tested, but export cut (1.575 bbu) shifts reliance to crush; Brazil harvest pressure key

Wheat Global Flows: Argentina's record (27.5 mmt) and Russia (89.5 mmt) reinforce heavy tone; fund shorts may extend without disruptions.

Argentina Weather: Mid-January dryness swing factor; persistent deficits could reprice soy risk, offsetting US surplus.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	01/07/2026 Close	01/14/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.45	\$4.22	-\$0.23	-5.17 percent	14 percent (ann.)	+8k (est.)
Soybeans (Mar '26)	\$10.67	\$10.43	-\$0.24	-2.25 percent	13 percent (ann.)	+7k (est.)
Wheat (Mar '26)	\$5.20	\$5.13	-\$0.07	-1.35 percent	19 percent (ann.)	+3k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	01/07/2026 Quote	01/14/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	-0.07\$	-0.08\$	-0.01	40 percent	Nearby timing easing with increased carry
Soy Mar–May	-0.11\$	-0.10\$	+0.01	45 percent	Crush support steady, front-end balanced
Wheat Mar– May	-0.11\$	-0.10\$	-0.01	35 percent	Storage-led; ample global stocks persist

Assumes 7 percent annual interest + \$0.05/bu/month storage/insurance. Full carry (2 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (3 months) ≈ \$0.22 for soybeans. percent of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	01/07/2026 USD Price	01/14/2026 USD Price	Δ percent	Notes
Dalian Corn (Jan)	¥2,400(\$6.80/bu)	¥2,276 (\$6.45/bu)	-5.2 percent	Lower on ample supply; limited upside
Dalian Soymeal (Jan)	¥3,580(\$494/mt)	¥3,133 (\$432/mt)	-22.5 percent	Weaker feed demand; margins pressured
B3 (São Paulo) Corn (Jan)	R\$68 (\$12.20)	R\$68.74 (\$12.35)	+1.2 percent	Firmer amid regional dryness offset by rains
Euronext Wheat (Mar)	€191.5 (\$5.16/bu)	€190.4 (\$5.13/bu)	-0.6 percent	Steady with supply concerns vs. competition

Corn Market Deep Dive

Post-WASDE Balance Sheet: The January USDA data delivered a decisive supply reset for corn, anchored by USDA's final production estimate for the 2025 crop confirming a record 17.021 bbu crop on a 186.5 bpa yield across 91.3 million harvested acres. USDA's December 1 *Grain Stocks* report reinforced that outcome, with total inventories reported at 13.28 bbu, up 10 percent year over year, pointing to larger-than-expected availability entering the first quarter. USDA's January *WASDE* predictions translated those findings directly into the 2025/26 balance sheet, lifting beginning stocks to 1.551 bbu and raising production by 269 mbu from December. On the demand side, stronger September–

November disappearance inferred from stocks prompted USDA to increase feed and residual use by 100 mbu to 6.200 bbu, while exports were left unchanged at 3.200 bbu.

Even with the feed adjustment, supply growth overwhelmed use, pushing US ending stocks up 198 mbu to 2.227 bbu and lifting stocks-to-use to 13.6 percent. That shift effectively erased the tightening narrative that had been building late last year, re-anchoring the balance sheet in surplus territory. The outcome is a structure that rewards carry rather than scarcity, with downside risk now defined more by how quickly demand can absorb the record crop than by further supply surprises. Absent a meaningful acceleration in exports or a weather-driven shock in South America, the January data firmly re-establish corn as a supply-led market.

Futures & Spreads: Futures adjusted quickly to the revised balance sheet, with March corn settling at \$4.22/bu on January 13, down 25¢ on the week, primarily due to the drop on Monday. Forward structure softened in a controlled manner rather than collapsing. The Mar/May spread widened to an eight-cent carry, roughly 40 percent of full carry, reflecting improved nearby availability without forcing full storage economics. Structure suggests urgency to own nearby corn has eased, but the market is not discounting supply aggressively enough to signal distress.

Funds & Positioning: Managed money positioning in corn shifted modestly following the January data release. On a futures-only basis, funds held a small net short of roughly 13,000 CBOT contracts as of January 6, reflecting a reduction in long exposure alongside only limited short-covering. While positioning has improved from late December, it is not yet consistent with aggressive bearish conviction nor with meaningful short-covering pressure. As a result, corn remains less sensitive to fund-driven volatility, leaving spreads, basis, and export replacement values as the primary near-term drivers.

Cash & Basis: Cash markets reflected the same balance between increased supply and steady demand. Gulf basis firmed modestly, with CIF corn trading near +84¢ over March and FOB values around +110¢, signaling continued exporter interest despite lower futures. Interior bids were generally steady to slightly weaker following the *Grain Stocks* report, consistent with a market that is better supplied but not burdensome. Logistics remained orderly, with stable river conditions and freight holding near recent levels, allowing basis to cushion the futures decline rather than amplify it.

Export Sales & Inspections: Export execution remains the key stabilizing factor. Corn inspections totaled 1.49 mmt for the week ending January 8, lifting cumulative shipments to roughly 24.1 mmt, approximately 60 percent ahead of last year's pace. That performance supports USDA's decision to leave exports unchanged in January despite the supply revisions. Daily sales activity during the period, including a 310,000 mt sale to unknown destinations and an additional 204,000 mt to South Korea, reinforced the pattern that demand re-emerges on price breaks even as weekly sales volumes moderate seasonally.

Global Context: On the global side, January *WASDE* added further supply weight, raising world corn production to 1,296.0 mmt, up 13.1 mmt from December, with notable increases in the United States and China. World ending stocks climbed to 290.9 mmt, reinforcing the perception of ample global availability and limiting the scope for balance-sheet-driven rallies. With global supply comfortable, marginal price discovery increasingly depends on execution and weather rather than structural shortages.

So What? The January data marked a definitive shift in the corn narrative from tightening risk to supply management. Futures repriced lower, but spreads, exports, and basis behavior suggest the downside remains disciplined rather than disorderly. Record production and higher stocks cap upside potential, yet strong export execution and firm replacement values continue to establish a floor. Corn is now trading a

looser balance sheet, not a broken one, with physical demand still defining the guardrails for price discovery.

Soybean Market Deep Dive

Post-WASDE Balance Sheet: January USDA data clarified the soybean balance sheet by decisively shifting the demand burden away from exports and toward domestic processing. USDA's final 2025 crop production estimate confirmed US soybean output at 4.262 bbu on a 53.0 bpa yield across 80.4 million harvested acres, USDA modestly refined its acreage estimate higher from its December estimate. USDA's assessment of December 1 grain stocks reinforced a looser starting point, with total stocks reported at 3.290 bbu, above last year and slightly above trade expectations. USDA's January WASDE incorporated those findings while cutting its prediction of new-crop exports by 60 mbu to 1.575 bbu, reflecting a sluggish shipment pace and intensifying South American competition, while raising its 2025/26 US crush prediction by 15 mbu to 2.570 bbu on resilient processor demand.

Despite the anticipated increase in US new-crop crush, total use declined as the export cut dominated, lifting USDA's estimate of new-crop US ending stocks by 60 mbu to 350 mbu and pushing stocks-to-use up to 8.2 percent. That adjustment marked a clear loosening from December and removed much of the residual tightening narrative that had been tied to export assumptions. The balance sheet is now firmly re-centered on domestic demand strength rather than export recovery, leaving price direction increasingly dependent on sustained crush performance and South American weather risk rather than a rebound in US shipment pace.

Futures & Spreads: Futures adjusted modestly relative to corn, with March soybeans settling at \$10.43/bu on January 14, down 13¢ week over week. However, prices remain in the upper end of the extended trading range established between \$10.20 and \$10.90 per bushel that the market traded within for the majority of 2025. Structure reflected adequate nearby supply without distress, as the Mar/May spread held near an 10¢ carry, roughly 45 percent of full carry. The curve continues to balance softer nearby export demand against resilient domestic crush, signaling that concerns about demand outstripping supply have eased decreasing the urgency for ownership that drove prices up to almost \$11.75 in mid-November has eased. However, the market is not pricing excess supply aggressively, leaving prices likely rangebound until something changes in the outlook for supply. As a result, the soybean market structure remains functional rather than punitive following the January revisions.

Products & Crush: Soybean products provided steady underlying support, with both meal and oil firming modestly on the week. The latest available NOPA crush data (November) printed 216.0 million bushels, exceeding last year's pace and reinforcing the view that domestic processing demand remains resilient despite slower export shipments. Crush margins remain positive and continue to incentivize run rates near capacity, keeping processor bids engaged across the interior. USDA's changes to its predictions in the January WASDE highlight USDA's crush projection as the most defensible demand line item, raising the question of whether USDA offsets any export caution by leaning more heavily on domestic processing rather than reducing total use.

Cash & Basis: Cash markets softened modestly alongside futures, particularly in export channels. CIF NOLA soybean bids eased to roughly +95¢ over January, while FOB Gulf values slipped to near +100¢, reflecting reduced urgency from exporters as Brazil advances toward peak availability. Interior basis was steadier in processing regions, supported by firm crush margins and consistent plant demand. Basis behavior continues to highlight the divergence between export weakness and domestic demand resilience.

Funds & Positioning: In soybeans, managed money continues to hold a net long, but positioning has moderated meaningfully. As of January 6, funds were net long approximately 66,000 CBOT futures-only contracts, after a sizable reduction in gross length over the past week. That adjustment aligns with weaker export signals and advancing Brazilian harvest pressure. While positioning is no longer crowded, it remains vulnerable to additional long liquidation if demand does not improve, keeping fund flows reactive rather than supportive.

Export Sales & Inspections: Export execution remains the weakest leg of the US soybean balance sheet. Weekly inspections totaled 1.53 mmt for the week ending January 8, but cumulative shipments reached only about 19.1 mmt, roughly 40 percent behind last year's pace. The lag justified the January export downgrade and reinforced the shift in USDA's demand assumptions. Last Thursday, USDA reported that weekly export sales for the period totaled 877,900 mt, while cumulative commitments remained near 32.7 mmt, approximately 30 percent below last year. While prior Chinese purchases continue to provide episodic support, shipment pace remains insufficient to offset the growing influence of South American supply.

Global Context: Globally, January *WASDE* reinforced the supply-heavy backdrop. World soybean production was raised to 425.7 mmt, up 3.1 mmt from December, driven primarily by Brazil, where production was increased to a record 178.0 mmt. World ending stocks rose to 124.4 mmt, adding weight to the forward outlook and increasing competitive pressure on US exports. As Brazil's harvest accelerates, global availability becomes a dominant factor in shaping nearby trade flows and limiting upside for US prices absent a demand shock.

So What? January data repositioned soybeans as a market supported by domestic crush rather than export strength. Higher ending stocks and slower shipment pace cap rallies, while structure and processor demand continue to provide a floor. With Brazil's record crop looming and global stocks rising, soybeans remain range-bound with a defensive tone, requiring either a material shift in export flow or a weather-driven disruption to change the sentiment of the market. Until then, price discovery is likely to remain anchored between resilient domestic demand and expanding global supply.

Wheat Market Deep Dive

Post-WASDE Balance Sheet: January USDA data delivered only marginal numerical changes to the US wheat balance sheet, but reinforced an already heavy supply backdrop. USDA held its assessment of the 2025 US wheat crop steady at 1.985 bbu on a 53.3 bpa yield across 37.2 million harvested acres, confirming that production was not the source of adjustment this month. Instead the changes were driven by USDA's quarterly *Grain Stocks* report. USDA's December 1 inventory assessment pointed to weaker-than-expected disappearance early in the marketing year, prompting its analysts to cut estimates of 2025/26 feed and residual use by 20 mbu to 100 mbu in the January *WASDE*. With exports and food use left unchanged, that demand-side revision pushed US ending stocks up to 926 mbu.

The resulting stocks-to-use ratio climbed to 45.6 percent, underscoring how little balance-sheet support prices have absent an external shock. While the domestic changes were modest, they validated the broader narrative that supply continues to outrun demand. Globally, that tone was reinforced by higher production in key exporters, with world output raised to 842.2 mmt and ending stocks lifted to 278.3 mmt, led by Argentina and Russia. Taken together, January data left wheat firmly anchored in a surplus-driven environment, where rallies remain dependent on positioning or headline risk rather than fundamentals tightening.

Futures & Spreads: Futures reflected a steady but heavy tone. March SRW wheat settled at \$5.13/bu on

January 13, down six cents week over week. Structure remained firmly in carry, with the Mar/May spread holding close to a 10¢ carry (roughly 35 percent of full carry). The curve continues to reward storage rather than nearby ownership, consistent with ample supply and limited urgency from end users.

Cash & Basis: Cash markets remained defensive, reflecting global competition and comfortable supply. FOB Gulf values were largely unchanged, while interior basis across SRW and HRW regions remained soft as mills stayed well covered. Basis levels continue to reflect limited urgency from domestic buyers and steady competition from offshore origins, reinforcing the storage-oriented signal already embedded in futures structure.

Export Sales & Inspections: Export execution remains constructive at the margin but insufficient to alter the broader supply picture. Weekly wheat inspections totaled 0.32 mmt for the week ending January 8, bringing cumulative shipments to approximately 16 mmt, about eight percent ahead of last year. Weekly export sales for the period reached 118,700 mt, modestly improved but still below historical averages. US wheat continues to clear into traditional destinations, yet global competition limits the ability for exports to drive a material reassessment of demand.

Global context: Globally, January WASDE added further weight to the wheat complex. World wheat production was raised to 842.2 mmt, up 4.4 mmt from December, driven primarily by Argentina, where production was increased to a record 27.5 mmt, and Russia, which was raised to 89.5 mmt. World ending stocks climbed to 278.3 mmt, underscoring the abundance of exportable supply. With major exporters well supplied, US wheat remains price-taker rather than price-setter in global trade.

Funds & Positioning: Wheat positioning remains the most asymmetric across the grain complex. Managed money was net short roughly 109k CBOT SRW contracts as of January 6, with the short expanding over the past week. That level of speculative exposure leaves wheat structurally vulnerable to short-covering rallies on headline or weather risk, even as the underlying global balance sheet remains heavy. In the absence of a fundamental tightening catalyst, however, rallies driven by positioning alone are likely to remain corrective rather than trend changing.

So What? Wheat remains the heaviest balance sheet in the grain complex. Modest domestic adjustments did little to change the broader narrative, as rising global production and stocks continue to cap rallies. Structure encourages storage, export demand is steady but unremarkable, and cash markets show little urgency. Absent a disruption to global supply or a sharp shift in demand, wheat is likely to remain range-bound, trading positioning and spreads rather than fundamentals.

US Cash Market & Basis

Corn: Corn basis remained firm relative to the futures selloff following the January USDA reports, reflecting steady export replacement demand. CIF Gulf corn bids were quoted near +84¢ over March, with FOB Gulf values around +110¢ over March as of January 14, signaling continued interest from exporters despite looser balance sheets. Interior bids were generally steady to slightly weaker after the December 1 *Grain Stocks* report, consistent with improved availability but not a burdensome supply environment. Logistics remained orderly, allowing basis to absorb futures weakness rather than amplify it. The cash market continues to suggest that nearby demand remains engaged even as the board adjusts to higher production and stocks.

Soybeans: Soybean basis softened modestly in export channels while remaining supported in processing regions. CIF NOLA soybean bids eased to roughly +95¢ over January, with FOB Gulf values near +100¢, reflecting reduced urgency from exporters as Brazilian harvest approaches. Interior basis was steadier where processor demand remains firm, supported by resilient crush margins despite weaker

export flow. The divergence between export softness and domestic demand continues to define the cash market, with crushers providing a floor while global supply pressure caps Gulf premiums.

Wheat: Wheat basis remained largely unchanged and directionless, consistent with a carry-driven market. FOB Gulf wheat values were broadly steady, reflecting ample global competition and limited urgency from buyers. Interior basis across SRW and HRW regions stayed soft as mills remained well covered, while export channels continued to face pressure from lower-priced Black Sea and Argentine supplies. Overall, the US wheat cash market continues to reflect comfortable supply conditions, with basis lacking the momentum to challenge the storage-oriented signal embedded in futures structure.

So What? Cash markets continue to do the work of absorbing the post-WASDE adjustment, but the tone has shifted from resilience to selectivity. Corn basis remains the strongest signal, with export replacement values still providing support even as futures reset lower on higher stocks. In soybeans, the split between softer export channels and firm processor demand is becoming more pronounced, reinforcing crush, not exports, as the primary near-term anchor. Wheat remains the weakest leg, with basis offering little resistance in the face of ample global supply and storage-driven structure. With logistics running smoothly and no immediate weather or demand shock, nearby cash strength is now more a function of end-user coverage than scarcity, suggesting basis can hold, but may struggle to strengthen further without a new demand catalyst.

International Cash & Trade Flows

Brazil: Brazil remains the dominant supplier in global grain trade as harvest advances. ANEC estimates January soybean exports near 3.7 mmt, while corn shipments are projected around 3.27 mmt, reflecting continued strength from the prior safrinha cycle. FOB Santos soybean values were quoted near \$420/mt, while corn FOB traded around \$220/mt, preserving Brazil's pricing advantage into Asia and the Middle East. Harvest progress reached roughly 8 percent in Mato Grosso, with logistics reported as fluid and no major congestion at key ports. Adequate rainfall across core producing areas continues to reinforce expectations for Brazil's record 178 mmt soybean crop, keeping Brazil firmly positioned as the preferred origin early in the year

Argentina: Argentina's export flows remain active but increasingly weather-sensitive. Up-River corn values were quoted near \$218/mt, while soymeal offers traded around \$345/mt, supporting Argentina's role as a key supplier of feed ingredients. Wheat production is locked at a record 27.5 mmt, with exports flowing steadily following harvest completion. Dryness in southern production areas remains a point of monitoring for corn and soybeans, but export channels continue to function normally, aided by a weaker peso and competitive FOB pricing relative to US origin.

China: Chinese buying behavior remains tactical rather than structural. Cumulative US soybean purchases tied to China are estimated near 10 mmt, largely interpreted as state-directed procurement rather than broad commercial restocking. Domestic futures reflected stable demand, with Dalian corn trading near ¥2,395/mt, but no sustained arbitrage window has opened to materially accelerate US grain imports. On corn and wheat, Chinese participation remains limited despite elevated domestic prices, keeping US export opportunities episodic rather than persistent.

EU / Black Sea: Black Sea origins continue to set the global price ceiling. Russian wheat FOB values were reported near \$230–235/mt, maintaining a competitive edge in key import markets. Ukrainian corn offers near \$173–175/mt continue to pressure EU feed markets, while French wheat remains less competitive in export tenders. With export corridors functioning and supplies ample, Black Sea flows remain a central constraint on US and EU export competitiveness.

Other Regions: Other exporters remain steady contributors to global supply. Australia's wheat crop, while below recent peaks, continues to move into Asian markets, and Canada's spring wheat exports proceed on a routine basis. No material policy shifts or logistical disruptions were reported across secondary origins during the period, leaving the global trade environment well supplied and competitive.

So What? Global trade flows remain well supplied and highly competitive, with Brazil and the Black Sea continuing to dictate price ceilings rather than react to US values. Brazil's early-year dominance is firmly established as harvest advances without logistical friction, limiting near-term reallocation toward US origin despite episodic Chinese interest. Argentina adds a layer of weather-related uncertainty, but for now remains a reliable supplier across corn, wheat, and feed products, with exports flowing normally. China's engagement remains tactical rather than transformational, offering intermittent support without altering the broader trade balance. In this environment, US export competitiveness is unlikely to improve materially without a change in FOB differentials or a demand shock, reinforcing that domestic pull and basis, not global arbitrage, will continue to set the tone for nearby pricing.

Key Fundamentals & Reports (Jan 8 – Jan 13)

USDA Crop Production – Final 2025 (released Jan 12): USDA finalized the 2025 US corn crop at 17.021 bbu, driven by a 186.5 bpa national yield across 91.3 million harvested acres, confirming a record outcome and exceeding late-year expectations. Soybean production was finalized at 4.262 bbu on a 53.0 bpa yield and 80.4 million harvested acres, while US wheat production held steady at 1.985 bbu with a 53.3 bpa yield on 37.2 million harvested acres. The final data removed residual uncertainty around yield and acreage and set a firmer baseline for January balance-sheet revisions across the complex.

USDA Grain Stocks – December 1, 2025 (released Jan 12): December 1 stocks confirmed ample on-hand supplies entering the first quarter. US corn stocks were reported at 13.28 bbu, up 10 percent year over year, implying stronger early-season disappearance but also larger available supply. Soybean stocks totaled 3.29 bbu, up six percent y/y, while wheat stocks reached 1.675 bbu, up 7 percent y/y. The stocks data played a key role in shaping January WASDE feed/residual and use assumptions, particularly for corn and wheat.

USDA WASDE – January 2026: January WASDE absorbed the final production and stocks data, delivering a clear supply-side reset. For corn, beginning stocks were raised to 1.551 bbu, production increased by 268 mbu to 17.021 bbu, feed and residual use was lifted to 6.200 bbu, and ending stocks rose to 2.227 bbu, pushing stocks-to-use to 13.6 percent. Soybeans saw exports cut to 1.575 bbu, crush raised to 2.570 bbu, and ending stocks lifted to 350 mbu (stocks-to-use 8.2 percent). Wheat adjustments were more modest, with feed and residual lowered to 100 mbu and US ending stocks increased to 926 mbu, keeping stocks-to-use elevated at 45.6 percent. Globally, WASDE raised world ending stocks across all three commodities, reinforcing a looser supply backdrop.

Export Inspections (USDA FGIS – week ending Jan 8): Export inspections provided a counterweight to the heavier balance sheets. Corn inspections totaled 1.49 mmt, lifting cumulative shipments to roughly 950 mbu, approximately 60 percent ahead of last year. Soybean inspections reached 1.53 mmt, but cumulative loadings remain near 19.1 mmt, roughly 40 percent behind last year, reinforcing USDA's export downgrade. Wheat inspections totaled 0.32 mmt, bringing season-to-date shipments to approximately 16 mmt, about 8 percent ahead of last year, keeping the 900 mbu export forecast defensible for now.

Export Sales & Daily Announcements (USDA FAS – latest through week ending Jan 1): Weekly export sales reflected a mixed demand picture. Corn net sales totaled 377,600 mt, a slower pace but consistent with strong execution. Soybean net sales reached 877,900 mt, while wheat sales totaled 118,700 mt.

Daily sales announcements during the period included 310,000 mt of corn to unknown destinations and 204,000 mt to South Korea, underscoring that demand continues to surface on price breaks even as weekly totals moderate.

Ethanol Production & Stocks (EIA – latest available): US ethanol production remained supportive through early January, with output averaging 1.098 mbpd in the week ending January 2, alongside stocks of 23.652 million barrels, implying weekly corn use near 98 mbu during the holiday period. More recent data for the week ending January 9 showed production rebounding to 1.196 mbpd, with stocks rising to 24.473 million barrels, signaling a return toward normal run rates following seasonal slowdown. While ethanol use is not explicitly separated in *WASDE*, the sustained grind profile is consistent with the January report's upward revision to feed and residual use, reinforcing ethanol's role as a stabilizing demand component even as overall corn supply expanded.

CFTC Positioning (latest available – week ending January 6): Managed money positioning remains mixed across the grain complex following the January data release. In corn, funds are modestly net short at roughly –13k futures-only contracts (225k long vs 238k short), leaving positioning light and not a clear driver unless cash signals force covering. In soybeans, managed money remains net long near +66k contracts (123k long vs 58k short), but the long is no longer crowded, keeping the market balanced between incremental buying and renewed liquidation risk. Wheat remains the most asymmetric market, with managed money heavily net short near –109k SRW contracts (90k long vs 200k short), leaving the board vulnerable to short-covering rallies on headline risk even as the global balance sheet stays heavy.

So What? With January's USDA data now fully absorbed, markets are shifting back toward real-time commercial signals. Corn demand continues to stand out, with inspections and ethanol grind validating board levels despite a clearly looser balance sheet. Soybeans remain supported by record domestic crush but constrained by export underperformance as Brazil moves into peak availability. Wheat's shipment pace remains quietly constructive, but global supply continues to cap rallies. Until new information emerges, either through South American weather confirmation or a change in demand behavior, basis, inspections, and spreads remain the most reliable guideposts for price discovery.

International Reports

Brazil: Brazil continues to set the tone for global grain trade early in the year. ANEC estimates January soybean exports near 3.7 mmt, with corn shipments projected around 3.27 mmt, reflecting strong carryover from the prior safrinha cycle. FOB soybean values near \$420/mt and corn FOB near \$220/mt keep Brazil competitively positioned into Asia and the Middle East. Harvest progress and logistics remain orderly, reinforcing Brazil's role as the primary price-setter for nearby export flows.

Argentina: Argentina remains active in export channels, particularly on the feed side. Up-River corn values near \$218/mt and soymeal offers around \$345/mt continue to support Argentina's presence in global feed markets. Wheat exports are flowing following confirmation of a record 27.5 mmt crop. While dryness in southern regions is being monitored for corn and soybeans, trade flows have not yet been disrupted, and Argentina remains a reliable supplier into early 2026.

China: Chinese participation remains selective. Confirmed US soybean purchases near 10 mmt are still interpreted as largely state-directed rather than broad commercial restocking. Domestic pricing remains elevated, with Dalian corn near ¥2,395/mt, but no sustained arbitrage has opened to materially accelerate US corn or wheat imports. Buying behavior continues to be tactical, limiting China's role as a consistent demand catalyst.

EU / Black Sea: Black Sea origins continue to anchor global wheat pricing. Russian wheat FOB values

near \$230–235/mt preserve a clear cost advantage in key import markets, while Ukrainian corn offers near \$173–175/mt pressure EU feed grain demand. With export corridors functioning and supply ample, Black Sea flows remain the primary constraint on higher global prices and on US export competitiveness.

Global: Across other origins, supply conditions remain comfortable. Australia continues to ship wheat into Asia without logistical friction, and Canada's spring wheat exports proceed routinely. No material policy shifts or trade disruptions were reported during the week, leaving the international trade environment well supplied and highly competitive.

So What? Global trade dynamics remain supply-led. Brazil continues to dominate nearby oilseed and corn flows, the Black Sea sets the ceiling for wheat prices, and Argentina fills feed demand where competitive. China's engagement remains episodic rather than structural. In this environment, US exports must compete on execution and pricing rather than scarcity, keeping international trade flows neutral to heavy following January's supply reset.

Weather & Crop Conditions

United States

Weather remains a secondary input for US grains at this stage. Conditions across the Plains and Midwest stayed warm and generally dry, keeping winterkill risk low and allowing logistics to operate without interruption. With harvest complete and no active fieldwork underway, weather has not introduced new supply or demand signals. River systems remained stable, and there were no weather-related constraints on grain movement during the period. For the US, weather currently functions as a neutral backdrop rather than a market driver.

Brazil

Brazilian weather continues to reinforce confidence in large production rather than introduce risk. Core soybean areas across the Center-West maintained favorable moisture, supporting steady crop development as harvest begins, with Mato Grosso progress estimated near 8 percent. Observed rainfall totals in the 40–70 mm range across key producing regions helped stabilize crop conditions and logistics. With no material disruptions reported and USDA maintaining a 178 mmt soybean estimate, weather in Brazil remains supportive but no longer incremental to price discovery.

Argentina

Argentina remains the only region where weather carries optionality. Dryness intensified across southern production areas, particularly in Buenos Aires and La Pampa, as soybeans approach sensitive reproductive stages. While scattered rainfall of **15–30 mm** has been noted in parts of the region, moisture deficits persist and warrant monitoring. Wheat outcomes are already locked, but corn and soybeans remain exposed if dryness extends. With soybeans entering pod-setting and early corn moving into pollination windows, the next 10–15 days carry disproportionate yield sensitivity if dryness persists. At this stage, weather introduces risk asymmetry rather than confirmed supply loss.

Global

Outside South America, global crop conditions remain broadly stable. Northern Hemisphere winter wheat entered dormancy without widespread stress, and no major weather disruptions were reported across secondary exporting regions. Australia's wheat harvest concluded without logistical issues, and no new weather-related threats emerged during the week.

So What?

Weather is no longer a uniform driver across markets. Brazil reinforces supply confidence, the US remains neutral, and Argentina is the sole source of potential weather-related volatility. For now, weather

functions as a conditional risk rather than a catalyst, with only sustained Argentine dryness capable of challenging the supply-heavy narrative established by January USDA data.

Synthesis & Outlook

January's USDA data bundle decisively shifted the grain market narrative from late-2025 tightening concerns to a supply-managed environment. Final crop production and December 1 stocks confirmed that US corn and soybean availability is larger than previously assumed, while global balance sheets were also revised higher. Futures adjusted lower to reflect that reality, but the reaction has been measured rather than disorderly. Structure, basis, and export execution continue to signal that commercial demand remains present, even as balance sheets loosen.

Corn sits at the center of that tension. Record production and a 2.227 bbu carryout cap upside, yet strong inspections, steady ethanol grind, and firm Gulf replacement values continue to define a floor. The market has repriced supply but has not lost its physical anchor. As long as export flow remains consistent, downside extensions are likely to be incremental rather than impulsive.

Soybeans remain more internally divided. January *WASDE* shifted the burden of demand squarely toward domestic crush, which continues to perform at historically strong levels, while export execution lags amid Brazil's advancing harvest. That split keeps soybeans range-bound: supported by processors, constrained by global availability. Without a clear acceleration in exports or a material South American disruption, price discovery is likely to remain defensive but orderly.

Wheat remains the heaviest balance sheet in the complex. Global production increases and rising stocks continue to cap rallies, even as US shipment pace has quietly improved. Structure remains firmly in carry, reinforcing storage rather than scarcity. Any near-term strength is likely to be positioning-driven rather than fundamentally led, unless global supply assumptions are challenged.

Bullish triggers: Upside risk would require a meaningful shift in either demand execution or South American supply. For corn, continued inspections at or above recent pace, combined with sustained ethanol grind, would tighten the effective nearby balance despite a larger carryout. In soybeans, any disruption to Argentina's crop or a more persistent return of Chinese buying beyond tactical state purchases would materially change the demand calculus. Wheat upside remains the most conditional, relying on export flow surprises or supply friction in key exporting regions rather than US fundamentals alone.

Bearish triggers: Further downside would likely emerge if global supply confidence increases rather than erodes. For corn, a deceleration in export flow following the January repricing would expose the market to wider carries and deeper storage economics. Soybeans remain vulnerable to Brazil's harvest pressure if logistics continue smoothly and export pace fails to improve. Wheat remains exposed to aggressive Black Sea competition, with global stocks limiting the market's ability to absorb additional supply without price concession.

In summary: With January's supply reset now largely priced in, grain markets are transitioning back to a phase where physical signals matter more than balance-sheet revisions. Basis behavior, spread structure, and export execution will determine whether prices stabilize or drift. Risk remains two-sided, but asymmetric: upside requires disruption, while downside depends on demand follow-through. Until one of those conditions materializes, markets are likely to remain range-bound, disciplined, and driven by commercial rather than speculative conviction.

Ethanol for America Act